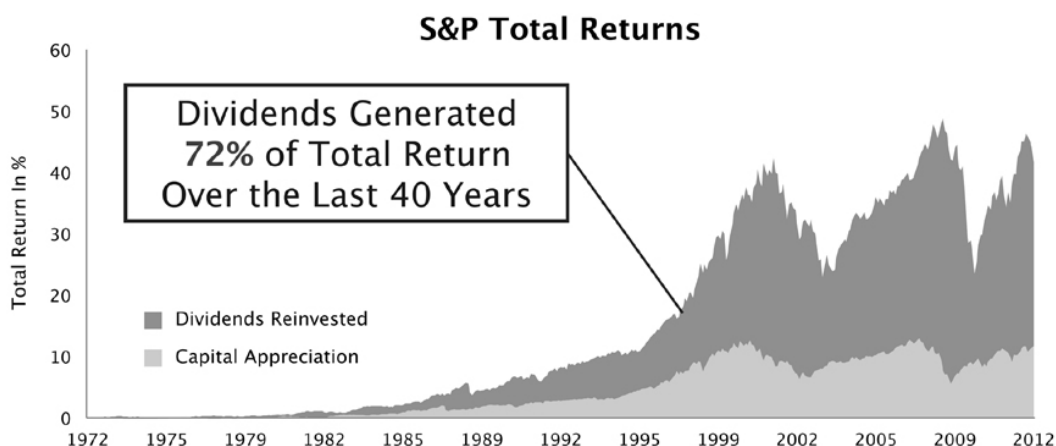


got caught up, and I got caught out. As I mentioned, around this time my mother passed away, and, as executor of her estate, I saw how steadily investing in stocks or securities that paid a dividend or a yield only grew steadily over time. Here's why my own mother's portfolio outperformed everything.



Yield Dominates Long-Term Total Return

Prioritize Yield Rather Than Depend on Growth
"Get Paid While You Wait"®



(Bloomberg)

As you can see from this chart, over a forty-year period, more than 70 percent of the total returns on the stock market came from investments that yielded dividends, not from those that relied on capital appreciation. In other words, people like my mother who invested in stocks that paid you something did better than those who invested only in hopes that the companies themselves would increase in value. This was mind-blowing to me. The day I saw my mother's portfolio was the day I stopped buying stocks that didn't pay anything to shareholders. Overnight, this became the only way I wanted to invest. But trying to find money managers who agreed with me, who would follow this mandate strictly, proved to be very difficult—until I